

SHIFT IN STANCE

For the first time in more than half a century, the RBI is rewriting the playbook for foreign banks, giving them a direct play

► **TWELVE YEARS AGO**, when the Reserve Bank of India (RBI) came out with its foreign banking road map allowing a shift from the branch model to a wholly-owned subsidiary (WOS) structure, it offered an incentive—WOS-based foreign banks could participate in merger and acquisition (M&A) transactions with private banks in India.

A gradual opening up started soon after. The first shift came when Canada-based billionaire Prem Watsa's Fairfax Group was allowed to acquire a majority stake in the Catholic Syrian Bank in 2018. This was the first time a foreign investor was given majority control of an Indian bank. Though Fairfax was not operating any bank in India, Watsa, who is of Indian origin, had been investing in Indian companies for over two decades. Still, it was a watershed.

The second deal was DBS' acquisition of Lakshmi Vilas Bank in 2020. Many experts dismissed it as a rescue of a failed lender, arguing that "the RBI would never permit M&A with a healthy bank."

That appears to be shifting now. Take for instance Japanese giant Sumitomo Mitsui Banking Corporation bought a 24.2% stake in YES Bank. The RBI's approval came in less than 90 days.



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Such speed was unheard of earlier. This marks the second wave of reforms in India's banking sector.

After that, the RBI allowed Dubai-based Emirates NBD to acquire a majority stake in RBL Bank last month in the largest FDI deal in India's banking sector. "The partnership with Emirates NBD will help us expand our franchise further and strengthen our position in mid-market and MSME lending," says a beaming R. Subramaniakumar, MD & CEO, RBL Bank. The bank aims to leverage Emirates NBD's strong platforms and combine them with its digital capabilities to enhance customer experience, especially in payments, remittances, and cross-border trade flows.

"Recent moves, like Emirates NBD's acquisition of a majority stake in RBL Bank, suggest the RBI might relax rules to attract foreign capital," says Datt Jadhav, Founder of White Stone Advisory, indicating that more deals could be in the offing.

FOREIGN BANKS EDGE IN

FEB 2005

RBI's draft guidelines for foreign banks allow them to operate as wholly-owned subsidiaries (WOS) instead of branches

NOV 2013

RBI allows foreign banks to set up and

or convert to a WOS rather than only operating as branches in India

DEC 2017

SBM Bank (India) becomes the first foreign bank to operate in India under the WOS model

FEB 2018

Canada-based Fairfax acquires 51% stake in Catholic Syrian Bank; the current holding is down to 40%

MAR 2019

Singapore-based DBS Bank India commences